

LABOUR LAW - II : UNIT II

BONUS — UNDER CODE ON WAGES, 2019

LL.B (3-YDC) IV Semester | Osmania University - Faculty of Law

🎯 TARGET: 75+ MARKS | UNIT II COVERAGE: 100%

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UNIT II — OVERVIEW & SYLLABUS SCOPE

★★★★★ HIGHEST PRIORITY UNIT

Bonus is the **HOTTEST exam topic** in Labour Law-II. It appears **almost every year** in both Part A and Part B. The 2024 paper had Bonus in both Part A (Full Bench Formula) AND Part B (Bonus definition + conditions).

What's IN Unit II

- Concept of Bonus, Right to claim Bonus
- Full Bench Formula
- Bonus Commission (Meher Commission)
- Payment of Bonus under Code on Wages, 2019
- Application of bonus provisions
- Computation of gross profit
- Available surplus and Allocable surplus
- Eligibility for bonus
- Disqualification of bonus
- Set-On and Set-Off mechanism
- Minimum and Maximum Bonus
- Recovery of Bonus

What is NOT in Unit II

-  Wages, Minimum/Fair/Living Wage → Unit I
-  Employees' Compensation, ESI → Unit III
-  Gratuity, EPF, Maternity → Unit IV
-  Factories Act, Child Labour, Equal Pay → Unit V

Expected Exam Questions from Unit II

- **Part A:** 1-2 short notes (Full Bench Formula, Set-On/Off, Disqualification almost certain)
- **Part B:** 1 long essay (Full Bench Formula OR Bonus conditions almost guaranteed)
- **Part C:** 1 problem (bonus eligibility / disqualification / loss-year)

Critical Numbers to Memorize

- Establishment threshold: **20+ employees** OR factory
- Service eligibility: **30 working days**
- Wage ceiling: **Rs.21,000/month**
- Calculation ceiling: **Rs.7,000 or minimum wage**
- Minimum bonus: **8.33%**
- Maximum bonus: **20%**
- Allocable surplus: **60% Indian / 67% Foreign**
- Return on capital: **8.5%**
- Return on reserves: **6%**

- Set-On limit: **20% of wage bill**
- Set-On/Off carry forward: **4 years**
- Payment deadline: **8 months** from year-end
- Recovery limitation: **1 year**

PART A — SHORT NOTES (6 marks each)

A.1 — Concept of Bonus ★★★★★

Definition: Bonus is an **extra payment** beyond wages, given to share the prosperity of the establishment with workers. Originally voluntary (ex-gratia), it became a **STATUTORY RIGHT** under the Payment of Bonus Act, 1965, now consolidated into **Sections 26-41 of the Code on Wages, 2019**.

Judicial Definition:

- *Mumbai Kamgar Sabha v. Abdulbhai (1976)* — Bonus shares industrial prosperity with labour and bridges the gap between actual wage and need-based wage
- *Hukumchand Jute Mills (1979)* — Bonus is a **“DEFERRED WAGE”** — payment that the worker has earned but receives later

Nature of Bonus:

- Statutory right, not charity
- Cannot be waived by contract
- Linked to profits of establishment
- Reflects worker’s share in prosperity

Three Stages of Bonus History:

1. **Pre-1965** — Voluntary ex-gratia (charity)
2. **1965-2019** — Statutory under Payment of Bonus Act
3. **2019-present** — Code on Wages, 2019 (Sections 26-41)

Key Features:

- Applies to **factories and establishments with 20+ persons**
- Worker must have worked at least **30 days**
- Wage ceiling: **Rs.21,000/month**
- Quantum: **8.33% minimum / 20% maximum**
- Computed via **Full Bench Formula**

Constitutional Basis:

- **Article 39(b)** — Distribution of material resources for common good
- **Article 39(c)** — Concentration of wealth not to common detriment
- **Article 43** — Living wage, decent standard of life

📌 **Example:** A factory worker earning Rs.20,000/month who has worked

200 days is entitled to bonus between Rs.5,824 (8.33% min) and Rs.16,800 (20% max) annually.

💡 **TIP:** Bonus = “Deferred Wage” — link to Articles 39, 43 for bonus marks.

A.2 — Right to Claim Bonus ★★★★★

Concept: Earlier, bonus was treated as **ex-gratia** (a voluntary gift). Today, it is a **STATUTORY RIGHT** of every eligible worker under Sections 26-41 of the **Code on Wages, 2019**.

Legal Status:

- *Mumbai Kamgar Sabha v. Abdulbhai (1976)* — Bonus is a “deferred wage”, not charity
- *Hukumchand Jute Mills (1979)* — Reaffirmed deferred wage status
- *Jalan Trading v. Mill Mazdoor Sabha (1967)* — SC upheld constitutional validity of statutory bonus

Conditions to Claim Bonus:

- Establishment must employ **20+ persons** OR be a **factory** [Section 26]
- Employee must have worked at least **30 working days** in accounting year
- Monthly wage must not exceed **Rs.21,000**
- Employee must not be disqualified under Section 29

Quantum:

- **Minimum: 8.33%** of wages OR Rs.100 (whichever higher) — payable **EVEN** if there is loss
- **Maximum: 20%** of wages — when allocable surplus permits

Constitutional Backing:

- *Jalan Trading (1967)* — Constitutional validity of mandatory minimum bonus (even in loss) upheld
- Not violative of Article 19(1)(g) — restriction is reasonable for social justice
- Not violative of Article 14 — classification is reasonable

Right Cannot Be Waived:

- Cannot be contracted out
- Settlement agreements waiving bonus are invalid
- Worker cannot voluntarily forgo statutory bonus
- Trade union cannot agree to less than statutory minimum

📌 **Example:** A worker earning Rs.18,000/month in a factory who has worked 60 days and is not disqualified has a **STATUTORY RIGHT** to claim at least 8.33% bonus — and the employer cannot deny it on any ground including loss.

A.3 — Full Bench Formula ★★★★★

Origin: Laid down by the Labour Appellate Tribunal in *Mill Owners' Association, Bombay v. Rashtriya Mill Mazdoor Sangh (1950)* — named “Full Bench Formula” because decided by a Full Bench of the Tribunal.

Purpose: To provide a **SCIENTIFIC METHOD** of computing bonus, recognizing that BOTH capital AND labour contribute to industrial prosperity.

Now codified in: Sections 31-36 of Code on Wages, 2019.

Four Steps:

Step 1 — Compute **GROSS PROFIT**

- Per Schedule I (banks) or Schedule II (others)
- Adjusted as per Section 31 of Code on Wages

Step 2 — Deduct **PRIOR CHARGES**

- (a) **Depreciation** as per Income Tax Act
- (b) **Development rebate / investment allowance**
- (c) **Direct taxes**
- (d) **Return on paid-up capital — 8.5%**
- (e) **Return on reserves — 6%**

■ **Available Surplus = Gross Profit – Prior Charges**

Step 3 — Compute **ALLOCABLE SURPLUS**

- **60% of Available Surplus** (Indian companies)
- **67% of Available Surplus** (foreign companies and banks)

■ **Allocable Surplus = the actual fund from which bonus is paid**

Step 4 — Distribute as **Bonus**

- Subject to **minimum 8.33%** and **maximum 20%**
- **Excess** above 20% → SET ON (up to 4 years)
- **Shortfall** below 8.33% → SET OFF (up to 4 years)

📌 **Example:**

- Gross Profit: Rs.10 crore
- Less: Prior Charges (Depreciation, Taxes, Returns): Rs.6 crore
- **Available Surplus: Rs.4 crore**
- Allocable Surplus (60%): **Rs.2.4 crore**
- This Rs.2.4 crore is distributed as bonus, capped at 20% of wage bill

Significance:

- Transformed bonus from charity to scientific share of profit
- Recognizes BOTH capital and labour contribution
- Codified in Bonus Act, 1965; retained in Code on Wages, 2019

💡 **TIP:** Mnemonic — “**GP-PC-AS-AS**” → Gross Profit → Prior Charges →

Available Surplus → Allocable Surplus.

A.4 — Bonus Commission / Meher Commission ★★★★★

Background: The Bonus Commission was set up by the **Government of India in 1961** under the chairmanship of **Justice M.R. Meher** (a retired Bombay High Court judge), with **G.R. Bhandari** and **K.K. Mathur** as members. The Commission submitted its report in **1964**.

Purpose: To examine the question of payment of bonus to industrial workers and recommend a comprehensive statutory scheme — since bonus had been a major cause of industrial unrest since the 1920s.

Key Recommendations:

- Bonus should be a **STATUTORY RIGHT**, not ex-gratia
- Calculation based on **AVAILABLE SURPLUS** after deducting prior charges from gross profit
- **Minimum bonus** of 4% (later raised to 8.33% by 1972 amendment)
- **Maximum bonus** of 20% of wages
- **Set-on and set-off** mechanism for stability
- Allocable surplus to be **60% of available surplus** (67% for foreign companies)
- Bonus to apply to factories and establishments with **20+ employees**
- **Wage ceiling** for eligibility
- **Calculation ceiling** for equitability

Outcome:

- **Payment of Bonus Act, 1965** was enacted based on Meher Commission recommendations
- Implemented nearly all suggestions
- Now consolidated into the **Code on Wages, 2019** (Sections 26-41)

Significance:

- Marked transition from voluntary to statutory bonus
- Codified the 1950 Full Bench Formula
- Established balance between worker rights and employer concerns
- Foundation of modern bonus jurisprudence

📌 **Example:** Before Meher Commission, employers paid bonus only when threatened with strikes. After the 1965 Act (based on Meher report), every eligible worker became entitled to minimum bonus by law.

💡 **TIP:** Mnemonic — “**Meher 1961, Report 1964, Act 1965**” — same gap pattern as Whitley.

A.5 — Eligibility for Bonus ★★★★★

Provision: Section 26(1) of Code on Wages, 2019.

Three Conditions for Eligibility:

1. *Establishment Coverage [Section 26]*

- Every **factory** (regardless of number of employees), OR
- Every **establishment** employing **20 or more persons** on any day in an accounting year
- Once applicable, continues even if number falls below 20

2. *Service Condition*

- Employee must have worked at least **30 WORKING DAYS** in an accounting year
- Working days include:
 - Days actually worked
 - Authorized paid leave
 - Maternity leave
 - Temporary disablement from employment accident

3. *Wage Ceiling*

- Employee's monthly wage must NOT exceed **Rs.21,000**
- Workers earning above this — NOT eligible for statutory bonus
- "Wage" = Basic + DA (excludes HRA, conveyance, overtime, etc.)

Calculation Ceiling:

- If wage > Rs.7,000 OR minimum wage of scheduled employment (whichever is higher)
- Bonus is calculated on **Rs.7,000 or minimum wage** (whichever is higher) — NOT on actual wage

Who is "Employee"?

- Includes all employees — workmen and non-workmen (supervisors, clerks)
- Excludes apprentices
- Excludes those covered under specific exemptions (defense, RBI, government, universities)

 **Example:**

- Worker A earning Rs.18,000/month, worked 60 days → **ELIGIBLE**
- Worker B earning Rs.25,000/month, worked 200 days → **NOT ELIGIBLE** (above Rs.21,000)
- Worker C earning Rs.15,000/month, worked 28 days → **NOT ELIGIBLE** (less than 30 days)

A.6 — Disqualification from Bonus ★★★★★

Provision: Section 29 of Code on Wages, 2019 (formerly Section 9 of Payment of Bonus Act, 1965).

Three Grounds of Disqualification:

An employee shall be **disqualified** from receiving bonus if he is **DISMISSED** from service for:

1. *Fraud*

- Deliberate deception causing wrongful loss to employer or wrongful gain to employee
- Examples: falsification of records, embezzlement of funds, fake expense claims

2. *Riotous or Violent Behaviour on Premises*

- Violent conduct within the workplace
- Examples: assault on supervisors, destruction of property, instigating workers to violence

3. *Theft, Misappropriation or Sabotage*

- Theft of materials, tools, finished goods
- Misappropriation of company funds
- Sabotage of machinery or processes

Key Principles:

- **MERE COMMISSION** of misconduct is NOT enough — actual **DISMISSAL** must result
- Disqualification applies **ONLY to the year of dismissal**, NOT retrospectively
- Bonus already earned for previous years **CANNOT** be forfeited
- Burden of proof on the **employer**
- A proper **domestic enquiry** must precede dismissal

What is NOT Ground for Disqualification:

- Negligence (unless wilful)
- Late attendance
- Insubordination (unless violent)
- Poor performance
- Inefficiency
- Trade union activities

📌 **Example:** Worker dismissed in 2023-24 for theft of tools → Disqualified for bonus of 2023-24 **ONLY**. Bonus already earned in 2021-22 and 2022-23 (before dismissal) **CANNOT** be forfeited.

⚖️ **Case:** *Pandian Roadways Corp. v. Presiding Officer (1996)* — Disqualification operates only for year of misconduct.

🔪 **Case:** *Gammon India v. Niranjan Dass (1984)* — Once earned, bonus is a deferred wage and cannot be denied for later misconduct.

💡 **TIP:** Mnemonic — “FRT — Fraud, Riot, Theft” — only 3 grounds.

A.7 — Set-On and Set-Off ★★★★★

Provision: Section 36 of Code on Wages, 2019.

Purpose: To ensure **STABILITY** in bonus payments across business cycles — workers should neither lose bonus completely in bad years nor get arbitrary windfalls in good years.

Set-On

Definition: When **allocable surplus** in an accounting year **EXCEEDS** the maximum bonus of 20% of wages, the **EXCESS** is **carried forward** to be used in years of lower surplus.

Rules:

- Set-on is **limited to 20%** of the total wage bill of employees
- Carried forward **up to 4 SUCCEEDING years**
- Used to supplement future bonus when surplus is inadequate
- Applied on **FIFO basis** — earliest set-on used first

Set-Off

Definition: When there is **NO allocable surplus** OR the available allocable surplus is **less than the minimum bonus** (8.33%), the **DEFICIENCY** is carried forward to be adjusted from future allocable surpluses.

Rules:

- Carried forward **up to 4 SUCCEEDING years**
- Deducted from future allocable surplus **BEFORE** computing bonus
- Ensures employer is reimbursed for paying minimum bonus in bad years

Why is this Important?

- Smoothens fluctuations in bonus
- Prevents workers from losing bonus in bad years
- Protects employer from being unfairly burdened
- Reflects business cycle reality

📌 **Example 1 (Set-On):**

- Year 1: Allocable surplus enough for 25% bonus
- Pay 20% (maximum); SET ON 5% for future

📌 **Example 2 (Set-Off):**

- Year 1: No allocable surplus
- Pay 8.33% minimum from reserves
- The 8.33% paid is SET OFF for adjustment against future surpluses

📌 Example 3 (Combined):

- Year 1: 30% surplus → Pay 20%, set on 10%
- Year 2: 0% surplus → Pay 8.33% min (using set-on)
- Year 3: 5% surplus → Pay 8.33% (using remaining set-on)

💡 TIP: Mnemonic — “Set-On = Profit Saved; Set-Off = Loss Carried” — both 4 years.

A.8 — Minimum and Maximum Bonus ★★★★★

Provision: Section 26(1) and Section 26(2) of Code on Wages, 2019.

Minimum Bonus [Section 26(1)]

- **8.33% of salary/wages** earned during the accounting year, OR
- **Rs.100** — whichever is **HIGHER**
- For employees **below 15 years**, minimum is **Rs.60**
- **MUST BE PAID EVEN IF** there is no allocable surplus or there is a loss
- This is the **safety net** for workers

Justification of 8.33%:

- Represents approximately **one month's salary** out of 12
- $(1/12 \times 100 = 8.33\%)$

Maximum Bonus [Section 26(2)]

- **20% of salary/wages** earned during the accounting year
- Payable **ONLY** when allocable surplus permits
- Excess beyond 20% becomes **SET-ON** for future years

Calculation Ceiling (Critical):

- If actual wage exceeds **Rs.7,000** or the **minimum wage** of the scheduled employment (whichever is higher), bonus is calculated on **Rs.7,000 or minimum wage**, NOT on actual wage
- This applies to BOTH minimum and maximum bonus

📌 Example 1 (Min Bonus):

- Worker A: Wage Rs.20,000/month, annual = Rs.2,40,000
- Calculation ceiling: Rs.7,000 → Annual = Rs.84,000
- Minimum bonus (8.33%) = Rs.6,997
- Even if company is in loss, this **MUST** be paid

📌 Example 2 (Max Bonus):

- Same worker A, when surplus permits

- Maximum bonus (20%) on Rs.84,000 = **Rs.16,800**
- Excess surplus carried forward as Set-On

🏛️ **Case:** *Jalan Trading v. Mill Mazdoor Sabha (1967)* — SC upheld validity of minimum bonus payable even in loss.

💡 **TIP:** Mnemonic — “Eight-Point-Three-Three Always; Twenty if Surplus”

A.9 — Available Surplus and Allocable Surplus ★★★★★

Provisions: Section 32 (Available Surplus) and Section 34 (Allocable Surplus) of Code on Wages, 2019.

Available Surplus [Section 32]

Definition: Amount remaining from Gross Profit after deducting all prior charges.

🟡 **Available Surplus = Gross Profit – Prior Charges**

Prior Charges Deducted:

- (a) **Depreciation** as per Income Tax Act
- (b) **Development rebate / investment allowance**
- (c) **Direct taxes** (income tax, super tax)
- (d) **Return on paid-up capital** — 8.5%
- (e) **Return on reserves** used in business — 6%

Significance: Represents net profit available for sharing between capital and labour.

Allocable Surplus [Section 34]

Definition: Portion of Available Surplus that is actually distributed to employees as bonus.

🟡 **Allocable Surplus:**

- **60% of Available Surplus** — for Indian companies
- **67% of Available Surplus** — for foreign companies and banks

Why 60%/67%?

- Reflects principle that BOTH capital and labour contribute to prosperity
- Capital gets 40%/33% retention (for reinvestment, dividends)
- Labour gets 60%/67% share (recognizing contribution)
- Higher % for foreign companies compensates for additional prior charges (royalties, remittance taxes)

Relationship Chain:

Gross Profit → minus **Prior Charges** = **Available Surplus** → 60% or 67% = **Allocable Surplus** → distributed as **Bonus** (8.33% to 20%)

Example:

Indian Company:

- Gross Profit: Rs.50 crore
- Less Prior Charges: Rs.33.5 crore
- **Available Surplus: Rs.16.5 crore**
- Allocable Surplus: $60\% \times \text{Rs.16.5 cr} = \text{Rs.9.9 crore}$

Foreign Company:

- Same Available Surplus: Rs.16.5 crore
- Allocable Surplus: $67\% \times \text{Rs.16.5 cr} = \text{Rs.11.05 crore}$ (higher)

Distribution:

- If wage bill = Rs.30 cr $\rightarrow$ Min (8.33%) = Rs.2.5 cr; Max (20%) = Rs.6 cr
- Pay Rs.6 cr (max); SET ON balance Rs.3.9 cr (within 20% wage limit)

A.10 — Recovery of Bonus ★★★★★

Provision: Section 40 of Code on Wages, 2019.

Concept: Right to bonus is meaningless without a recovery mechanism. If employer fails to pay due bonus, worker has access to a **SUMMARY recovery process**.

Recovery Procedure (4 Steps):

Step 1: Application

- Employee (or **assignee** or **heirs** in case of death) applies in writing to the **APPROPRIATE GOVERNMENT** for recovery
- Application specifies:
 - Period of bonus due
 - Amount claimed
 - Particulars of employer
 - Reasons for non-payment

Step 2: Verification

- Appropriate government verifies the claim
- Gives **opportunity of hearing** to employer (natural justice)
- May call for records, summon witnesses

Step 3: Recovery Certificate

- If satisfied, government issues a **certificate to the Collector**
- Certificate specifies amount, period, employer details

Step 4: Recovery as Arrears of Land Revenue

- Collector recovers the amount as **ARREARS OF LAND REVENUE**
- Powers of attachment:
 - Movable property

- Immovable property
- Bank accounts
- Goods on premises
- Sale of attached property at auction

Limitation Period:

- Application must be made within **1 YEAR** from the date bonus became due
- Extendable on **sufficient cause** shown

Why “Arrears of Land Revenue” Method?

- Faster than civil suit
- No court fees
- Direct recovery by Collector
- Strong deterrent against non-payment

Example:

Worker not paid Rs.10,000 bonus for 2022-23. After 8 months:

1. Applies to State Labour Department
2. Hearing held with employer
3. Certificate issued to District Collector
4. Collector attaches employer's bank account
5. Recovers Rs.10,000 + interest

Companion Provisions:

- **Penalty under Section 54:** Fine up to Rs.50,000 (first offence)
- **Repeat:** Imprisonment up to 3 months + fine up to Rs.1 lakh

PART B — LONG ESSAYS (15 marks each)

B.1 — Full Bench Formula — Detailed Explanation ★★★★★

 **STRUCTURE:** Introduction → Background → Steps → Illustration → Application → Limitations → Cases → Conclusion

Introduction

The **Full Bench Formula** is the foundation of bonus calculation in India. Laid down in **1950** by the Labour Appellate Tribunal, it provides a **SCIENTIFIC METHOD** of computing bonus, recognizing that BOTH capital AND labour contribute to industrial prosperity. The formula transformed bonus from arbitrary ex-gratia payments into a structured, predictable right. It is now codified in **Sections 31-36 of the Code on Wages, 2019**.

Background and Origin

Pre-1950 Era:

- Bonus was paid arbitrarily — sometimes ex-gratia, sometimes after strikes
- **Bombay Textile Strike (1924)** brought the issue to national focus
- **Industrial Tribunal (Bombay) — Justice Divatia (1948)** attempted a first scientific formula
- Need for uniform method became urgent

The 1950 Decision:

The Labour Appellate Tribunal in *Mill Owners' Association, Bombay v. Rashtriya Mill Mazdoor Sangh (1950)* — known as the **FULL BENCH JUDGMENT** because decided by a Full Bench of the Tribunal — laid down a formal calculation method.

The Tribunal recognized:

- Industry is a **joint venture of capital and labour**
- Both contribute to prosperity
- Profits must be shared scientifically
- Prior claims of capital, taxes, and reinvestment must be respected

The formula was endorsed by the **Bonus Commission (1961)** and codified in the **Payment of Bonus Act, 1965** — now Code on Wages, 2019.

Structure of the Full Bench Formula

The formula works in **FOUR STEPS** to compute the bonus payable.

STEP 1 — Compute Gross Profit

Start with the profit of the establishment from the **Profit & Loss Account**, with adjustments as prescribed in:

- **Schedule I** — for banking companies
- **Schedule II** — for other establishments

(Section 31 of Code on Wages, 2019)

Method:

- Start with Net Profit per audited P&L
- **ADD BACK:** Depreciation, tax provisions, bonus paid (will be recomputed), donations beyond limits, capital losses
- **DEDUCT:** Capital receipts, foreign banking income, tax refunds
- Result = **GROSS PROFIT**

STEP 2 — Deduct Prior Charges from Gross Profit

Prior charges represent the **FIRST CLAIM** on profits — those of capital, taxation, and reinvestment. (Section 32)

Five Prior Charges:

- (a) **Depreciation** as per Income Tax Act
- (b) **Development rebate, investment allowance, or development allowance**
- (c) **Direct taxes** (income tax, super tax)
- (d) **Return on paid-up capital** — 8.5%
- (e) **Return on reserves used in business** — 6%

■ Available Surplus = Gross Profit – Prior Charges

This represents the NET PROFIT available for sharing between capital and labour.

STEP 3 — Determine Allocable Surplus

A specified percentage of the available surplus is set aside for distribution to workers. (Section 34)

- **60% of Available Surplus** — for Indian companies (banking and non-banking)
- **67% of Available Surplus** — for foreign companies and banking companies

■ Allocable Surplus is the actual fund from which bonus is paid.

STEP 4 — Distribute as Bonus

- If Allocable Surplus is **sufficient** — pay UP TO 20% as bonus
- If Allocable Surplus is **insufficient** — pay MINIMUM 8.33% even from reserves
- **Excess** above 20% — carried forward as **SET ON** (up to 4 years)
- **Shortfall** below 8.33% — carried forward as **SET OFF** (up to 4 years)

Detailed Illustration

Suppose **Company X** has the following for accounting year **2023-24**:

Step 1 — Gross Profit

- Net Profit per P&L: Rs.30 crore
- Add: Depreciation (book) Rs.5 cr, Tax provisions Rs.10 cr, Bonus paid Rs.3 cr, Donations beyond limits Rs.0.5 cr
- Less: Capital receipts Rs.1.5 cr
- **GROSS PROFIT = Rs.47 crore**

Step 2 — Prior Charges

- Depreciation per Income Tax Act: Rs.5 crore
- Development rebate: Rs.2 crore
- Direct taxes (IT): Rs.15 crore
- Return on paid-up capital (8.5% of Rs.100 cr): Rs.8.5 crore
- Return on reserves (6% of Rs.50 cr): Rs.3 crore

- **TOTAL PRIOR CHARGES = Rs.33.5 crore**

Available Surplus = Rs.47 – Rs.33.5 = Rs.13.5 crore

Step 3 — Allocable Surplus (Indian Company)

- 60% of Rs.13.5 crore = **Rs.8.1 crore**

Step 4 — Distribute

- Total wage bill: Rs.20 crore
- Minimum bonus (8.33%) = Rs.1.67 crore
- Maximum bonus (20%) = Rs.4 crore
- **Pay Rs.4 crore (max 20%)**
- **SET ON Rs.4.1 crore** for future years (subject to 20% wage bill limit)

Set-On and Set-Off Operation [Section 36]

Designed to ensure STABILITY:

Set-On:

- When allocable surplus > 20% of wages → excess SET ON
- Limit: 20% of total wage bill
- Carried forward up to 4 succeeding years
- Used FIFO method

Set-Off:

- When allocable surplus < minimum bonus → deficiency SET OFF
- Reduces future allocable surplus
- Carried forward up to 4 succeeding years

Application of the Formula

- Applies to all establishments under Code on Wages, 2019
- Used in industrial adjudication and bonus disputes
- Modified for banks, insurance companies (through Schedules)
- Auditor's certificate required for verification
- Workers can challenge calculation through Section 45 claim

Limitations / Criticisms

The formula has been criticized on several grounds:

1. Capital Bias

- Heavily favours capital — large prior charges reduce surplus available for workers
- Fixed return on capital (8.5%) vs. variable bonus for workers
- Return on reserves (6%) further reduces surplus

2. Ignored Indirect Benefits to Capital

- Tax holidays
- Subsidies

- Concessional loans
- Infrastructure support — not factored

3. Inflation Not Considered

- Real value of bonus erodes
- Minimum bonus % unchanged despite price rise
- Wage ceiling rarely revised

4. Small/Unorganised Enterprises Excluded

- 20-employee threshold leaves out crores of workers
- Family enterprises, gig workers excluded

5. Calculation Ceiling

- Bonus computed on Rs.7,000 OR minimum wage, not actual wage
- Workers earning Rs.21,000 get bonus on much lower base

6. Complexity

- Multiple steps and prior charges
- Requires accountant certification
- Disputes often arise on prior charges

Important Case Laws

⚖️ **Case:** *Mill Owners' Association, Bombay v. Rashtriya Mill Mazdoor Sangh (1950)* — Original Full Bench judgment laying down the formula.

⚖️ **Case:** *Associated Cement Companies v. Their Workmen (1959)* — SC approved the formula with refinements; detailed treatment of prior charges.

⚖️ **Case:** *Tata Iron & Steel Co. v. S.N. Modak (1965)* — Detailed analysis of prior charges, especially return on capital.

⚖️ **Case:** *Jalan Trading Co. v. Mill Mazdoor Sabha (1967)* — SC upheld constitutional validity of the formula as codified in the Bonus Act.

⚖️ **Case:** *Hukumchand Jute Mills Ltd. v. 2nd Industrial Tribunal (1979)* — Bonus is a 'deferred wage'.

⚖️ **Case:** *Mumbai Kamgar Sabha v. Abdulbhai (1976)* — Bonus is a right, not charity.

Conclusion

The Full Bench Formula is a **hallmark of Indian industrial jurisprudence**. It transformed bonus from a charitable payment into a **scientific share of profits**. Although criticized for being complex and capital-friendly, it remains the basis of bonus calculation under the **Code on Wages, 2019**. The set-on and set-off mechanism, the minimum and maximum bonus limits, and the disqualification provisions together create a **balanced framework** that protects both worker entitlement and industry sustainability. The formula reflects India's commitment to **distributive justice** under **Articles 39 and 43** of the Constitution.

B.2 — Definition of Bonus, Conditions of Payment & Recovery under Code on Wages, 2019 ★★★★★

Introduction

Bonus is a payment to workmen over and above their wages, given to share the prosperity of the establishment. Originally voluntary, it became a statutory right with the **Payment of Bonus Act, 1965**, now incorporated into the **Code on Wages, 2019** (Sections 26-41). Bonus enables workers to share in the profits they helped generate, narrowing the gap between wages and the actual cost of living.

Definition of Bonus

The term “bonus” is **NOT specifically defined** in the Code on Wages, 2019, but it has been judicially explained:

- *Mumbai Kamgar Sabha v. Abdulbhai Faizullabhai (1976)* — Bonus shares industrial prosperity with labour and bridges the gap between actual wage and the need-based / living wage
- *Hukumchand Jute Mills v. 2nd Industrial Tribunal (1979)* — Bonus is a ‘**DEFERRED WAGE**’ — payment that the worker has earned but receives later
- *Jalan Trading Co. v. Mill Mazdoor Sabha (1967)* — Bonus is not a gratuitous payment

Origin and Evolution

- **1917-1924** — Bonus first appeared as ex-gratia in textile industry strike settlements
- **1948** — Industrial Tribunal (Bombay) developed an initial formula
- **1950** — Labour Appellate Tribunal in *Mill Owners’ Association v. RMMS* laid down the **Full Bench Formula**
- **1961-64** — **Bonus Commission** (M.R. Meher) examined the subject
- **1965** — **Payment of Bonus Act** enacted
- **2019** — Subsumed in **Code on Wages** (Sections 26-41)

Applicability of Bonus Provisions [Section 26]

- Every **FACTORY** (regardless of number of employees)
- Every **ESTABLISHMENT** employing **20+ persons** on any day in an accounting year
- Once applicable, **continues** even if the number falls below 20
- For new establishments — special transitional provisions under Section 28

Conditions for Payment of Bonus

1. Service Condition

- Employee must have worked at least **30 WORKING DAYS** in the accounting year

- Working days include:
 - Days on which employee was paid wages
 - Authorized leave with wages
 - Temporary disablement caused by employment accident
 - Maternity leave (for women)

2. Wage Ceiling for Eligibility

- Employee's monthly wage must not exceed **Rs.21,000**
- Workers earning above this — NOT eligible for statutory bonus
- (May be revised by notification)

3. Calculation Ceiling

- If wage > Rs.7,000 OR minimum wage of scheduled employment (whichever is higher)
- Bonus is calculated on **Rs.7,000 or minimum wage** (whichever is higher)
- NOT on actual wage

4. No Disqualification

- Employee must not be disqualified under Section 29 (fraud, theft, violence)

Minimum and Maximum Bonus

- **Minimum [Section 26(1)]:** 8.33% of wages OR Rs.100 (higher), payable EVEN in loss
- **Maximum [Section 26(2)]:** 20% of wages when allocable surplus permits
- For employees below 15 years: minimum Rs.60

Calculation of Bonus — Full Bench Formula (Brief)

- **Step 1:** Compute **GROSS PROFIT** (per Schedule I/II, Section 31)
- **Step 2:** Deduct **PRIOR CHARGES** — depreciation, development rebate, direct taxes, return on capital (8.5%), return on reserves (6%) → **AVAILABLE SURPLUS** (Section 32)
- **Step 3:** **ALLOCABLE SURPLUS** = 60% (Indian) or 67% (Foreign) of Available Surplus (Section 34)
- **Step 4:** Distribute as bonus, subject to min 8.33% and max 20%

Set-On & Set-Off [Section 36]

Ensures bonus stability across business cycles:

- **Set-On:** Excess over 20% bonus carried forward up to 4 years (limit 20% of wage bill)
- **Set-Off:** Deficiency below 8.33% carried forward to be adjusted against future surpluses, up to 4 years

Disqualification from Bonus [Section 29]

An employee is disqualified if **DISMISSED** for:

- **Fraud** — deliberate deception causing wrongful loss/gain
- **Riotous or violent behaviour** on premises
- **Theft, misappropriation, or sabotage** of property

Important: Disqualification applies **ONLY** to the year of dismissal — earned bonus from previous honest years remains intact.

Time Limit for Payment [Section 39]

- Bonus must be paid within **8 MONTHS** from close of accounting year
- Extendable up to 2 years (total 10 months) by appropriate government
- Where dispute pending — within 1 month from final settlement

Recovery of Bonus [Section 40]

If bonus is not paid, the worker has access to a **summary recovery process**:

Step 1: Application

- Employee (or assignee/heirs) applies to appropriate government in writing
- Specifies period, amount, employer details, reasons

Step 2: Verification

- Government verifies claim
- Gives employer opportunity of hearing
- May summon documents

Step 3: Recovery Certificate

- If satisfied, government issues certificate to the **COLLECTOR**
- Certificate specifies amount and period

Step 4: Recovery as Arrears of Land Revenue

- Collector recovers amount as **ARREARS OF LAND REVENUE**
- Powers: attachment of property, bank accounts, sale of assets
- Faster than civil suit; no court fees

Limitation: Application within **1 YEAR** from date bonus became due (extendable on sufficient cause).

Penalties [Sections 54-56]

- **Non-payment of bonus:** Fine up to Rs.50,000 (first offence)
- **Repeat within 5 years:** Imprisonment up to 3 months + fine up to Rs.1 lakh
- **False statement to evade payment:** Imprisonment 6 months OR fine Rs.50,000
- **Compounding** allowed for first-time minor offences

Special Provisions

- **New establishments (Section 28):** Bonus only if profit in first 5 years; full applicability from 6th year
- **Exemptions (Section 41):** Defense, RBI, government, universities,

hospitals, etc.

Important Case Laws

⚖️ **Case:** *Jalan Trading Co. v. Mill Mazdoor Sabha (1967)* — Constitutional validity of Bonus Act upheld.

⚖️ **Case:** *Hukumchand Jute Mills (1979)* — Bonus = deferred wage.

⚖️ **Case:** *Mumbai Kamgar Sabha v. Abdulbhai (1976)* — Bonus is a right, not charity.

⚖️ **Case:** *Gammon India v. Niranjan Dass (1984)* — Once earned, bonus cannot be forfeited.

⚖️ **Case:** *Pandian Roadways v. Presiding Officer (1996)* — Disqualification only for year of misconduct.

Conclusion

The bonus law in India represents a **unique balance** — recognizing the worker's right to share in industrial prosperity while protecting industries from undue burden. The **Code on Wages, 2019** retains the core structure of the Payment of Bonus Act, 1965, including:

- Full Bench Formula
- Set-on/Set-off mechanism
- Minimum 8.33% and maximum 20%
- Recovery as arrears of land revenue

Bonus is no longer charity — it is a STATUTORY RIGHT and a tool of social justice, fulfilling the constitutional vision under **Articles 39 and 43**. Strict enforcement, judicial vigilance, and periodic revision of wage ceilings are essential to keep the bonus framework meaningful for India's workers.

B.3 — Set-On and Set-Off — Detailed Explanation ★★★★★

Introduction

The **Set-On and Set-Off mechanism** under Section 36 of the Code on Wages, 2019 is one of the most **innovative features** of Indian bonus law. It ensures **STABILITY** in bonus payments across business cycles — workers should not lose bonus completely in bad years, nor should employers be unduly burdened by sudden surpluses. This system reflects the **maturity** of Indian bonus jurisprudence and the recognition that business performance fluctuates.

Background and Purpose

The Problem (Before Set-On/Off):

- Some years: Excessive surplus → workers got 20% bonus + surplus wasted/diverted
- Other years: No surplus → workers got nothing

- This volatility caused industrial unrest and bonus disputes

The Solution (Set-On/Off):

- Smoothen bonus across years
- Carry forward excess from good years to bad years
- Carry forward deficit from bad years to be recovered in good years
- Mutual benefit for workers and industry

The **Bonus Commission (1961)** considered this mechanism essential and recommended it; the **Payment of Bonus Act, 1965** codified it; the **Code on Wages, 2019** retains it in Section 36.

Statutory Provision [Section 36]

Section 36 provides for set-on and set-off of allocable surplus to ensure bonus stability.

SET-ON: Detailed Explanation

Definition

When in any accounting year, the **allocable surplus exceeds** the amount of maximum bonus payable (20%), the **EXCESS shall be CARRIED FORWARD** for being set on in subsequent accounting years.

Conditions

- Set-on limited to **20% of the total wage bill** of employees eligible for bonus
- Carried forward **up to 4 SUCCEEDING accounting years**
- Used to supplement future allocable surplus when surplus is inadequate
- Operates on **FIFO basis** — earliest set-on used first

Mechanism

Year 1: If allocable surplus = 25% of wages

- Pay maximum bonus 20%
- **Set on excess 5%** (within 20% wage bill limit)

Year 2: If allocable surplus = 0% (or very low)

- Use set-on from Year 1 to pay bonus
- Pay 8.33% minimum from the set-on

Beyond 4 Years:

- Set-on lapses if not used within 4 succeeding years

SET-OFF: Detailed Explanation

Definition

When in any accounting year there is **NO allocable surplus** OR the allocable

surplus is **LESS than the minimum bonus** (8.33%) payable, the **DEFICIENCY shall be SET OFF** against the allocable surplus of subsequent accounting years.

Conditions

- Set-off carried forward **up to 4 SUCCEEDING accounting years**
- Deducted from future allocable surplus **BEFORE** distributing bonus
- Ensures employer is reimbursed for paying minimum bonus in bad years
- Operates on **FIFO basis** — earliest set-off recovered first

Mechanism

Year 1: No allocable surplus

- Employer pays 8.33% minimum bonus from reserves (mandatory)
- The 8.33% paid is recorded as **SET-OFF** to be recovered in future

Year 2: Allocable surplus available

- First, deduct the set-off from Year 1
- Then compute current year's bonus from remaining

Beyond 4 Years:

- Set-off lapses if not recovered within 4 years
- Employer must absorb the loss

Combined Illustration

Company Z — Five-Year Bonus Pattern:

Year	Allocable Surplus	Bonus % Paid	Action
2020-21	30% of wages	20% (max)	Set on 10% (within 20% limit)
2021-22	0% (loss year)	8.33% (from reserves + set-on)	Set-on used; balance carried
2022-23	15% of wages	18% (15% + 3% set-on)	Set-on used; some left
2023-24	25% of wages	20% (max)	Set on 5%; old set-on lapses after 4 years
2024-25	Loss	8.33% (using set-on + set-off the rest)	New set-off created

Limits and Restrictions

For Set-On:

- Maximum 20% of total wage bill in any year
- Maximum 4 years carry-forward
- FIFO use

For Set-Off:

- No specific limit on amount
- Maximum 4 years carry-forward
- Cannot make worker's bonus go below 8.33% minimum

Procedural Requirements

- Maintained in a **Register** in prescribed form
- Audited by independent auditor
- Open for inspection by:
 - Workers' representatives
 - Trade unions
 - Inspector-cum-Facilitator
- Disclosed in annual bonus statements

Importance and Significance

For Workers:

- Guaranteed minimum bonus even in bad years
- Stable income expectations
- Protection from arbitrary employer claims of "loss"

For Employers:

- Recovery of minimum bonus paid in bad years
- Predictable obligation
- Encourages reinvestment of excess surplus

For Industry:

- Reduced bonus-related industrial unrest
- Smoother labour relations
- Predictable financial planning

Limitations / Criticisms

- **4-year limit may be too short** — long business cycles can exceed this
- Workers cannot demand set-on amount immediately; must wait
- Complex to calculate; requires expert accounting
- Disputes over carry-forward amounts common

Important Case Laws

⚖️ **Case:** *Mill Owners' Association v. RMMS (1950)* — Concept of stability in bonus payments first recognized.

⚖️ **Case:** *Jalan Trading v. Mill Mazdoor Sabha (1967)* — Set-on/Set-off provisions upheld as constitutional.

⚖️ **Case:** *Associated Cement Cos. v. Their Workmen (1959)* — Treatment of carry-forward amounts.

⚖️ **Case:** *Mumbai Kamgar Sabha v. Abdulbhai (1976)* — Bonus is a deferred wage; set-on/off operationalize this.

Conclusion

The **Set-On and Set-Off mechanism** under Section 36 is a **brilliant balancing act** in Indian bonus law. By ensuring that excess surpluses don't disappear into capital pockets and deficits don't completely deprive workers, it creates **STABILITY** without compromising **EQUITY**. It reflects the principle that **industrial prosperity is a joint outcome** of capital and labour, and both must share the **risks and rewards** across business cycles. The mechanism remains an essential feature of the Code on Wages, 2019, and continues to be relevant in today's volatile economic environment.

B.4 — Eligibility and Disqualification of Bonus ★★★★★

Introduction

The right to bonus under the **Code on Wages, 2019** is not automatic for every worker. The law balances worker entitlement with reasonable conditions and exclusions. **Eligibility provisions** (Section 26) determine WHO can claim bonus, while **disqualification provisions** (Section 29) determine WHO loses the right due to specific misconduct. Together, these provisions ensure that bonus reaches deserving workers while protecting employers from unjust claims.

Statutory Basis

- **Section 26(1)** — Eligibility for bonus
- **Section 29** — Disqualification from bonus

ELIGIBILITY FOR BONUS

Three cumulative conditions must be satisfied:

Condition 1: Coverage of Establishment

The establishment must be:

- A **factory** (regardless of number of employees), OR
- An **establishment** employing **20 or more persons** on any day in an accounting year

Key points:

- Once applicable, the Code **continues** to apply even if employee count falls below 20
- “Establishment” interpreted broadly — covers manufacturing, services,

- trading
- New establishments have special rules (Section 28)

Condition 2: Service Requirement

The employee must have worked for at least **30 WORKING DAYS** in the accounting year.

“Working days” includes:

- Days actually worked
- Days of authorized paid leave
- Days of maternity leave (for women)
- Days of temporary disablement caused by employment accident
- In some interpretations, lay-off days

This is a **MANDATORY threshold** — no pro-rata bonus for less than 30 days.

Condition 3: Wage Ceiling

The employee’s monthly wage must NOT exceed **Rs.21,000**.

Key features:

- “Wage” = Basic pay + Dearness Allowance (excludes HRA, overtime, etc.)
- Workers earning above Rs.21,000 are NOT eligible for statutory bonus
- They may have contractual or customary bonus rights
- The ceiling may be revised by notification

Calculation Ceiling

Even for eligible workers, bonus is computed on a capped wage:

- If actual wage > Rs.7,000 OR minimum wage of scheduled employment (whichever higher)
- Bonus is calculated on **Rs.7,000 or minimum wage** (whichever higher)
- NOT on actual wage

 **Example:** Worker earning Rs.18,000/month:

- Eligible (below Rs.21,000)
- But bonus computed on Rs.7,000 (or minimum wage, whichever higher)
- At 20% max bonus: $\text{Rs.7,000} \times 12 \times 20\% = \text{Rs.16,800/year}$

Who is “Employee”?

- Includes **all employees** — workmen and non-workmen
- Covers manual, skilled, unskilled, supervisory, technical, clerical workers
- **Excludes apprentices**
- **Excludes** workers in establishments specifically exempted under Section 41:

- Defense services
- Indian Red Cross
- Universities/educational institutions
- Government employees
- RBI, IFCI, NABARD, etc.

DISQUALIFICATION FROM BONUS [Section 29]

Even if eligible, an employee can be **disqualified** if dismissed for specific misconduct.

Three Grounds of Disqualification

An employee is disqualified if **DISMISSED** for:

1. Fraud

- Deliberate deception causing wrongful loss to employer or wrongful gain to employee
- Examples:
 - Falsification of records
 - Embezzlement of funds
 - Fake expense claims
 - Misrepresentation about qualifications/experience

2. Riotous or Violent Behaviour on Premises

- Violent conduct within the workplace
- Examples:
 - Assault on supervisors/co-workers
 - Destruction of property
 - Instigating violence
 - Threatening behaviour

Outside workplace violence may not qualify unless directly connected to employment.

3. Theft, Misappropriation or Sabotage

- Theft of company property — tools, materials, finished goods
- Misappropriation of company funds
- Sabotage of machinery, processes, or operations
- Dishonest handling of company resources

Key Principles Governing Disqualification

1. Dismissal is Essential

- **MERE COMMISSION** of misconduct is NOT enough
- Actual **DISMISSAL** must result
- If employer chooses to keep the employee, no disqualification
- Worker who resigns voluntarily is NOT disqualified

2. Year of Misconduct Only

- Disqualification applies **ONLY to the year of dismissal**
- NOT retrospective
- Bonus already earned for previous years remains intact
- *Gammon India v. Niranjan Dass (1984)* — once earned, bonus = deferred wage

3. Burden of Proof on Employer

- Employer must prove the grounds for dismissal
- Proper **domestic enquiry** must precede dismissal
- Worker must be given opportunity to defend
- *Wenger & Co. v. Workmen (1963)* — natural justice mandatory

4. Specific Grounds Only

- Only the **three grounds** in Section 29 cause disqualification
- Other misconducts (negligence, late attendance, insubordination) do NOT
- Cannot be expanded by employer policy

What is NOT a Ground for Disqualification?

- Negligence (unless wilful and amounting to sabotage)
- Late attendance
- Insubordination (unless involving violence)
- Poor performance
- Inefficiency
- Trade union activities
- Going on strike (even unauthorized)
- Personal disputes unrelated to work

Procedure for Disqualification

For an employer to validly disqualify a worker:

1. **Misconduct must occur** — one of the three grounds
2. **Show-cause notice** issued to worker
3. **Domestic enquiry** conducted with opportunity to defend
4. **Dismissal order** passed citing one of the three grounds
5. **Notice/intimation** to worker
6. Only then disqualification operates for that accounting year

Effect of Disqualification

- Worker loses bonus **ONLY** for the accounting year in which dismissed
- Past years' earned bonus must still be paid
- Worker can challenge disqualification in:
 - Industrial Tribunal/Labour Court
 - Civil court (limited)
 - Section 45 claim before Authority

Important Case Laws

⚖️ **Case:** *Pandian Roadways Corp. v. Presiding Officer (1996)* — Madras HC: disqualification operates only for year of misconduct.

⚖️ **Case:** *Gammon India v. Niranjan Dass (1984)* — SC: once earned, bonus cannot be forfeited.

⚖️ **Case:** *Wenger & Co. v. Workmen (1963)* — Domestic enquiry mandatory before dismissal.

⚖️ **Case:** *Mumbai Kamgar Sabha v. Abdulbhai (1976)* — Bonus is a right, not charity.

⚖️ **Case:** *Project Manager, Ahmedabad v. ESI Workers (1997)* — Eligibility thresholds strictly applied.

Conclusion

The eligibility and disqualification framework under Sections 26 and 29 of the Code on Wages, 2019 represents a **carefully calibrated balance**:

- **Three eligibility conditions** ensure that bonus reaches deserving workers in covered establishments
- **Three disqualification grounds** allow employers to deny bonus only for grave misconduct that warrants dismissal
- **Critical safeguards** — dismissal must precede disqualification, only the year of misconduct is affected, past earned bonus is protected

This framework reflects the **constitutional commitment** to social justice under **Articles 39 and 43**, while respecting reasonable employer interests. The settled judicial position — that bonus is a **deferred wage** — reinforces that disqualification must be **strict, narrow, and procedurally sound**.

PART C — PROBLEM QUESTIONS (10 marks each)

💡 **TIP FOR PART C:** Always use IRAC method:

- **Issue** — what is the legal question?
- **Rule** — what law/section applies?
- **Application** — apply law to facts
- **Conclusion** — clear yes/no answer

C.1 — Jacob's fraud in 2023-24. Is Raheem eligible for bonus for 2022-23? ★★★★★

Facts

Jacob has committed fraud upon his employer in the accounting year **2023-2024**. Raheem (apparently a co-worker or the same person) seeks bonus for the previous year **2022-2023**.

Issue

Can bonus already accrued for a previous accounting year be denied because of fraud committed in a subsequent year?

Rule (Applicable Law)

- **Section 29 of Code on Wages, 2019** — Disqualification from Bonus
- An employee shall be disqualified from receiving bonus if he is **DISMISSED** from service for:
 - - (a) Fraud
 - - (b) Riotous or violent behaviour on premises
 - - (c) Theft, misappropriation, or sabotage of property
- Disqualification operates **only for the year of misconduct**, NOT retrospectively
- Bonus is a “deferred wage” — *Hukumchand Jute Mills (1979)*

Application

- Fraud committed in 2023-2024 — bonus claim is for 2022-2023 (an earlier year)
- Section 29 requires **DISMISSAL**, not mere commission of fraud
- Even after dismissal, disqualification applies only to the **year of dismissal**
- Bonus that has **ALREADY ACCRUED** for previous accounting years (where employee worked honestly) **CANNOT be denied** because of fraud committed in a later year
- This protects the worker’s earned rights — bonus is a “deferred wage”
- The employer cannot use future misconduct as ground to deny past earned bonus

Case Laws

⚖️ **Case:** *Pandian Roadways Corporation Ltd. v. Presiding Officer (1996)* — Disqualification under Section 9 (now 29) applies only to the year of misconduct, not earlier years.

⚖️ **Case:** *Gammon India Ltd. v. Niranjana Dass (1984)* — SC: bonus is **deferred wage**; once earned, it cannot be forfeited for subsequent misconduct.

⚖️ **Case:** *Mumbai Kamgar Sabha v. Abdulbhai (1976)* — Bonus is a right, not charity.

Conclusion

Raheem (assuming he is the same person as Jacob, or even if different) is **ELIGIBLE** to receive bonus for the accounting year 2022-2023 because the fraud was committed in 2023-2024. Disqualification under Section 29 operates **only for the year of fraud and dismissal**, NOT retrospectively.

Therefore, the employer cannot withhold the 2022-2023 bonus.

Remedies for the worker:

- File claim under Section 45 within 3 years
- Recovery as arrears of land revenue under Section 40
- Compensation up to 10 times the bonus amount

C.2 — Employee dismissed for theft. Is he entitled to bonus for current AND past years? ★★★★★

Facts

An employee was **dismissed in October 2024** for theft of company tools worth Rs.50,000 after a proper domestic enquiry. He claims bonus for:

- Current year **2024-25** (worked April to October)
- Past years **2022-23 and 2023-24** (not yet paid)

Issue

Can an employee dismissed for theft claim bonus for:

- (a) The current accounting year (year of misconduct)?
- (b) Past accounting years where bonus had already accrued but was not paid?

Rule (Applicable Law)

- **Section 29 of Code on Wages, 2019** — Disqualification from Bonus
- An employee dismissed for theft is **DISQUALIFIED** from bonus
- Section 29 operates only for the **YEAR OF DISMISSAL**, not retrospectively
- **Section 26(1)** — Eligibility requires 30 working days in the accounting year and other conditions
- **Section 40** — Recovery of unpaid bonus
- Bonus is a “deferred wage” — *Gammon India* (1984)

Application

(a) Current Year (2024-25)

- Employee dismissed in October 2024 for theft — disqualification applies
- Theft is one of the three disqualification grounds under Section 29
- Disqualification covers **ONLY** the year of dismissal — 2024-25
- Therefore, **NO bonus for 2024-25**
- Even though he worked April to October (more than 30 days), the disqualification under Section 29 **OVERRIDES** eligibility
- Domestic enquiry was conducted properly, so the dismissal is valid

(b) Past Years (2022-23 and 2023-24)

- These bonus had **ALREADY ACCRUED** before dismissal
- Section 29 does NOT operate retrospectively
- Bonus is a “deferred wage” (*Mumbai Kamgar Sabha*)
- Employer cannot withhold previously earned bonus
- Employee **IS ENTITLED** to bonus for 2022-23 and 2023-24
- Theft in 2024 does not affect bonus rights of earlier honest years

Conditions for Section 29 to Apply (All Met Here)

- **DISMISSAL** must have occurred ✓
- Proper **domestic enquiry** must precede dismissal ✓
- Misconduct must be specifically theft/misappropriation/sabotage ✓ (theft of tools)
- Burden of proof on the employer ✓

Case Laws

⚖️ **Case:** *Gammon India Ltd. v. Niranjan Dass (1984)* — Once earned, bonus is deferred wage; cannot be forfeited for later misconduct.

⚖️ **Case:** *Pandian Roadways v. Presiding Officer (1996)* — Disqualification only for year of misconduct.

⚖️ **Case:** *Wenger & Co. v. Workmen (1963)* — Proper domestic enquiry mandatory before dismissal.

⚖️ **Case:** *Mumbai Kamgar Sabha v. Abdulbhai (1976)* — Bonus is right, not charity.

Conclusion

(a) For Current Year 2024-25: Employee is **NOT ENTITLED** to bonus. Section 29 disqualifies him because dismissal for theft falls under the third ground (theft/misappropriation/sabotage of property).

(b) For Past Years 2022-23 and 2023-24: Employee **IS ENTITLED** to bonus. These had already accrued before dismissal, and Section 29 disqualification does NOT operate retrospectively. The employer must pay these along with interest.

The employee can file a claim under **Section 45** within 3 years for recovery of the past years' bonus. If not paid, recovery as **arrears of land revenue** under Section 40.

C.3 — Company in loss for the year. Must it pay bonus?



Facts

ABC Manufacturing Ltd. shows a **NET LOSS** of **Rs.5 crore** for the accounting year 2023-24. The workers demand bonus. The company refuses, citing the

loss.

Issue

Is an employer liable to pay bonus even when the establishment has incurred a loss in the accounting year?

Rule (Applicable Law)

- **Section 26(1) of Code on Wages, 2019** — Minimum Bonus
- **Section 26(2)** — Maximum Bonus
- **Section 36** — Set-On and Set-Off
- The Code mandates:
 - **MINIMUM BONUS of 8.33%** — payable EVEN IF there is loss or no allocable surplus
 - This is a non-negotiable statutory right
- The minimum bonus is paid from:
 - Set-on amount carried forward from previous years (if any), OR
 - Employer's own funds / reserves
- The amount paid as minimum bonus is recorded as **SET-OFF** to be recovered from future years' allocable surplus

Application

Mandatory Minimum Bonus (8.33%)

- ABC Ltd. has loss — but minimum bonus is **STILL PAYABLE**
- Section 26(1) is clear: minimum bonus payable "whether there is allocable surplus or not"
- Employer cannot escape this by showing losses
- This protects workers from being completely deprived in bad years

Source of Payment

- Check if any **SET-ON** is available from previous 4 years
- If yes, use set-on to pay minimum bonus
- If no set-on, employer pays from reserves / own funds
- Amount paid is **SET-OFF** to be recovered in future profitable years (within 4 years)

Maximum Bonus Not Payable

- No allocable surplus = no maximum bonus (20%)
- Only minimum 8.33% is mandatory

Constitutional Backing

- *Jalan Trading v. Mill Mazdoor Sabha (1967)* — SC upheld constitutional validity of mandatory minimum bonus EVEN in loss years
- This is NOT confiscatory; bonus is a deferred wage
- *Crown Aluminium v. Workmen (1958)* — Wages/bonus protection applies even if employer cannot afford

Case Laws

⚖️ **Case:** *Jalan Trading Co. v. Mill Mazdoor Sabha (1967)* — Minimum bonus mandatory even in loss; constitutionally valid.

⚖️ **Case:** *Crown Aluminium Works v. Workmen (1958)* — Industry must pay statutory dues even if it cannot afford; if not, must close.

⚖️ **Case:** *Mumbai Kamgar Sabha v. Abdulbhai (1976)* — Bonus is a right, not charity.

Conclusion

YES, ABC Manufacturing Ltd. is **OBLIGED to pay MINIMUM BONUS of 8.33%** to eligible workers even though it has incurred a loss. This is mandatory under **Section 26(1)** of the Code on Wages, 2019. The company cannot escape this liability by citing losses.

However, the company:

- Pays only the **MINIMUM (8.33%)**, not maximum (20%)
- Can use any available **SET-ON** from previous years
- Records the payment as **SET-OFF** to be recovered when profits return (within 4 years)
- Need not pay above 8.33% since no allocable surplus

The constitutional validity of this mandatory minimum was upheld in *Jalan Trading v. Mill Mazdoor Sabha*. Workers can file claim under Section 45 if denied.

C.4 — Establishment with 18 workers. Are they entitled to bonus?



Facts

An establishment (not a factory) employs **18 workers**. The workers demand bonus under the Code on Wages, 2019.

Issue

Whether an establishment employing fewer than 20 workers is liable to pay statutory bonus?

Rule (Applicable Law)

- **Section 26 of Code on Wages, 2019** — Applicability of Bonus Provisions
- The Code's bonus provisions apply to:
 - Every **FACTORY** (regardless of number of employees), OR
 - Every **ESTABLISHMENT** employing **20 or more persons** on any day in an accounting year
- Once applicable, **continues** even if number falls below 20

- The 20-employee threshold is **MANDATORY** for non-factory establishments

Application

- The establishment is NOT a factory (so factory exception doesn't apply)
- It employs only 18 workers — BELOW the 20-employee threshold
- Therefore, **statutory bonus provisions DO NOT apply**
- Workers cannot claim statutory bonus under Code on Wages, 2019

Important Exception to Consider

- If at any time in the accounting year the establishment had **20+ workers** (even briefly), then ALL workers become eligible
- The Code says "20 or more persons on **any day**" — so 20 even for one day triggers applicability
- Need to check: did the establishment have peak hiring at any point?

Alternative Possibilities

- **Customary bonus:** If long-standing practice exists, may be enforceable
- **Contractual bonus:** If specified in employment contract
- **Voluntary bonus:** Employer's discretion (no enforceable right)

Case Laws

🔪 **Case:** *Project Manager, Ahmedabad v. ESI Workers (1997)* — Threshold conditions strictly applied for statutory benefits.

🔪 **Case:** *State of Punjab v. Labour Court (1981)* — Number of workers means actually employed, not on rolls.

Conclusion

The 18 workers in this establishment are **NOT ENTITLED to statutory bonus** under the Code on Wages, 2019 because the establishment does not meet the **20+ employee threshold** under Section 26. They may have claims under:

- **Customary bonus** (if long-standing practice exists for 8-10+ years)
- **Contractual bonus** (if in employment contract)
- **Voluntary bonus** from employer's discretion

If, however, the establishment had 20+ employees on any day during the accounting year (e.g., during peak season), then statutory bonus becomes applicable to ALL workers including the current 18.

C.5 — Worker earns Rs.25,000/month. Is he entitled to bonus?



Facts

Mr. Sharma is a supervisor in a factory earning **Rs.25,000/month** (basic + DA). He has worked the entire accounting year. He demands statutory bonus.

Issue

Whether a worker earning more than Rs.21,000/month is entitled to statutory bonus under Code on Wages, 2019?

Rule (Applicable Law)

- **Section 26(1) of Code on Wages, 2019** — Eligibility for Bonus
- Employee's monthly wage must NOT exceed **Rs.21,000** (the wage ceiling)
- Workers earning above the ceiling are **NOT ELIGIBLE** for statutory bonus
- This ceiling may be revised by notification by the Central Government
- "Wages" for this purpose means Basic + DA (excludes HRA, conveyance, overtime, etc.)

Application

- Mr. Sharma earns Rs.25,000/month — ABOVE the Rs.21,000 ceiling
- Therefore, **NOT ELIGIBLE** for statutory bonus under Section 26
- His service status (full year) is **immaterial** — he is excluded by wage ceiling
- His supervisory role doesn't matter — eligibility is based on wage, not designation

Important Distinction

Eligibility vs. Calculation Ceiling

There are TWO ceilings — different purposes:

Ceiling	Amount	Purpose
Eligibility Ceiling	Rs.21,000/month	Above this → NOT eligible for bonus at all
Calculation Ceiling	Rs.7,000/month OR minimum wage	Above this → eligible, but bonus calculated on this lower amount

Mr. Sharma's case is about **eligibility ceiling** — he fails this and is excluded altogether.

Alternative Possibilities

1. Contractual Bonus

- If employment contract provides for bonus, it remains enforceable
- Many companies pay performance bonus to higher-paid employees

2. Customary Bonus

- If establishment has a custom of paying bonus to all (irrespective of wage), claim may exist
- Long-standing practice may have created enforceable right

3. Profit Sharing Bonus

- Some companies have profit-sharing schemes (different from Code bonus)
- These can apply to all employees regardless of wage

What if Wage was Just Rs.20,000?

- Eligibility: YES (below Rs.21,000)
- Calculation: On Rs.7,000 (or minimum wage if higher) only
- Annual bonus base: $\text{Rs.7,000} \times 12 = \text{Rs.84,000}$
- At 20% max: Rs.16,800
- Even though earning $\text{Rs.20,000} \times 12 = \text{Rs.2,40,000}$ annually, bonus is on Rs.84,000

Case Laws

⚖️ **Case:** *Project Manager, Ahmedabad v. ESI Workers (1997)* — Wage ceilings strictly applied.

⚖️ **Case:** *Ramesh Chand v. Punjab Sales Tax (1992)* — Threshold provisions are mandatory.

Conclusion

NO, Mr. Sharma earning Rs.25,000/month is **NOT ENTITLED** to statutory bonus under the Code on Wages, 2019. His wage exceeds the **Rs.21,000 eligibility ceiling** under Section 26(1).

However, he may have claims under:

- **Contractual bonus** (if specified in employment contract)
- **Customary bonus** (if long-standing establishment practice)
- **Performance bonus** under company policy
- **Profit-sharing** scheme, if any

The employer can lawfully decline statutory bonus to Mr. Sharma. Workers and employers should note: **eligibility is by wage, not by designation or service duration.**

UNIT II — QUICK REVISION SHEET

Key Sections of Code on Wages, 2019 (Unit II Topics)

Section	Topic
Section 26	Applicability + Min/Max Bonus + Eligibility
Section 28	New establishments (5-year grace)
Section 29	Disqualification from bonus
Section 31	Computation of Gross Profit

Section	Topic
Section 32	Available Surplus + Prior Charges
Section 34	Allocable Surplus (60%/67%)
Section 36	Set-On and Set-Off
Section 39	Time limit for payment (8 months)
Section 40	Recovery of bonus
Section 41	Exemptions
Section 54	Penalties

Key Numbers to Remember

Concept	Number
Establishment threshold	20+ employees (or factory)
Service eligibility	30 working days
Wage ceiling	Rs.21,000/month
Calculation ceiling	Rs.7,000 or min wage
Minimum bonus	8.33%
Maximum bonus	20%
Below-15 minimum bonus	Rs.60
Allocable surplus (Indian)	60%
Allocable surplus (Foreign)	67%
Return on paid-up capital	8.5%
Return on reserves	6%
Set-On limit	20% of wage bill
Set-On/Off carry forward	4 years
Payment deadline	8 months from year-end
Recovery limitation	1 year
New establishment grace	5 years
Penalty 1st offence	Rs.50,000
Penalty repeat	3 months + Rs.1 lakh

Bonus Calculation Formula (Memorize)

Step 1: Net Profit + Adjustments = **GROSS PROFIT**

Step 2: Gross Profit – Prior Charges (Depreciation, Dev Rebate, Direct Taxes, 8.5% on capital, 6% on reserves) = **AVAILABLE SURPLUS**

Step 3: 60% (or 67%) of Available Surplus = **ALLOCABLE SURPLUS**

Step 4: Distribute as bonus (8.33% min, 20% max); Set-On excess; Set-Off deficit

Top 10 Cases for Unit II

1. *Mill Owners' Association v. RMMS (1950)* — Full Bench Formula laid down

2. *Associated Cement Cos. v. Workmen (1959)* — Formula refined
3. *Tata Iron & Steel v. S.N. Modak (1965)* — Prior charges detailed
4. *Jalan Trading Co. v. Mill Mazdoor Sabha (1967)* — Constitutional validity upheld
5. *Mukand Iron & Steel v. Workmen (1969)* — Gross profit treatment
6. *Mumbai Kamgar Sabha v. Abdulbhai (1976)* — Bonus = deferred wage
7. *Hukumchand Jute Mills (1979)* — Reaffirmed deferred wage
8. *Gammon India v. Niranjan Dass (1984)* — Earned bonus cannot be forfeited
9. *Pandian Roadways v. Presiding Officer (1996)* — Disqualification only for year of misconduct
10. *Wenger & Co. v. Workmen (1963)* — Domestic enquiry before dismissal

Memory Mnemonics

- **Full Bench Formula:** "GP-PC-AS-AS" (Gross Profit → Prior Charges → Available → Allocable)
- **Bonus Numbers:** "20-30-21-7-8.33-20" (20 employees, 30 days, Rs.21,000 ceiling, Rs.7,000 calc, 8.33% min, 20% max)
- **Allocable Surplus:** "60 for Indian, 67 for Foreign"
- **Set-On/Off:** "Set-On = Profit Saved, Set-Off = Loss Carried; both 4 years"
- **Meher Commission:** "Meher 1961, Report 1964, Act 1965"
- **Disqualification Grounds:** "FRT — Fraud, Riot, Theft"
- **Timeline:** "8 months to pay, 1 year to claim, 4 years to carry"

Top Trap Questions

- "Loss-making company — pay bonus?" → YES, minimum 8.33%
- "Fraud committed in year X — past years' bonus?" → YES, past bonus intact
- "Wage Rs.20,000 — bonus on what?" → Eligible, but calculated on Rs.7,000
- "Worker dismissed for theft — current year bonus?" → NO, disqualified
- "Worker dismissed for theft — past years' bonus?" → YES, past bonus intact
- "Worked only 25 days?" → NO, below 30-day threshold
- "Establishment with 18 workers?" → NO, below 20 threshold (unless factory)
- "Wage Rs.25,000?" → NO, above Rs.21,000 ceiling